

COLLECTION · QUÉBEC & LEGAL

Mortgage: fixed or variable?

*Rate, term and amortization — understanding
and choosing your loan*

READ BEFORE YOU BEGIN

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Mortgage: fixed or variable?

Rate, term and amortization — understanding and choosing your loan

The mortgage is the largest debt of most households. Understanding fixed vs variable rate, term and amortization helps you choose a loan suited to your risk tolerance and your situation.

This guide clarifies these concepts and the questions to ask before signing.

2026 edition note: rates change constantly; confirm with a mortgage broker. Each chapter ends with a lined “My notes” page.

The mortgage is the largest debt of most households. This guide clarifies the fixed vs variable trade-off, the difference between term and amortization, the clauses that matter, and how to adapt the loan to your life.

Note (2026 edition): rates change constantly; always confirm with a mortgage broker.

CHAPTER

Fixed rate vs variable rate

Understanding the main trade-off.

It's every borrower's big choice, and it comes down to your risk tolerance:

- **Fixed rate:** the same for the whole term. Predictable payments, peace of mind, but often a slightly higher starting rate.
- **Variable rate:** follows market fluctuations. Can cost less if rates drop or stay low, but exposes you to payment or interest increases.

In short: fixed buys *predictability*, variable bets on the *market*. Neither is “better” in absolute terms.

Ask yourself a simple question: would a payment increase keep you up at night? Fixed buys predictability (at the cost of an often slightly higher starting rate); variable bets on the market (possible savings, but the risk of an increase). Neither is “better” in absolute terms.

EMILIE'S TIP

Ask yourself a simple question: would a payment increase of \$150 to \$300 a month keep you up at night? If so, fixed is often worth its small extra cost for the peace of mind.

CHAPTER

The term and the amortization

Telling apart two often-confused concepts.

These two words look alike but mean very different things:

- **Amortization:** the *total* time to repay the loan (often 25 years).
- **Term:** the length of the *current contract* (often 5 years), at the end of which you renew under new conditions.

A longer amortization reduces the monthly payment, but increases the total interest paid. At each end of term, you renegotiate: it's a key moment to adjust your strategy.

Don't confuse amortization (the total repayment period, often 25 years) and term (the length of the current contract, often 5 years). At each end of term, you renegotiate: it's a key moment to shop around. Don't just accept your renewal — make lenders compete two to three months before the deadline.

EMILIE'S TIP

Don't just accept your term renewal. Two or three months before the deadline, shop around and make lenders compete: that's often where you save the most, without changing houses.

CHAPTER

The clauses that matter

Looking beyond the rate.

The advertised rate is only the visible part. These clauses can cost — or save — you a lot:

- **Prepayment penalties:** sometimes very high if your life changes (a move, a separation).
- **Accelerated repayment:** extra payments allowed, to pay off faster.
- **Portability:** transferring the loan to another property.
- **Open vs closed loan:** flexibility versus rate.

The lowest rate isn't always the best loan: a rigid clause can cost a lot at the wrong moment.

The advertised rate is only the visible part: prepayment penalties (sometimes very high if your life changes), accelerated repayments, portability, open vs closed loan. Before signing for an “unbeatable” rate, ask how the penalty is calculated.

EMILIE'S TIP

Before signing for an “unbeatable” rate, ask how the prepayment penalty is calculated. At some lenders, it can amount to several thousand dollars.

CHAPTER

Getting the right support to finance

Choosing the right person to deal with.

You don't have to shop alone. Two main paths:

- **Your financial institution:** simple if you're already a client there, but a single product line.
- **The mortgage broker:** compares several lenders for you, often at no cost to the borrower.

In both cases, compare the rate *and* the conditions. A pre-approval gives you a confirmed amount and a guaranteed rate to shop with peace of mind.

Two paths to finance: your institution (simple if you're a client, but a single line) or a mortgage broker (compares several lenders, often at no cost to you). In both cases, compare the rate **AND** the conditions, and get a pre-approval to shop with peace of mind.

EMILIE'S TIP

A good mortgage broker usually costs you nothing and can find conditions your bank won't offer you spontaneously. It's worth at least a conversation.

CHAPTER

Adapting your loan to your life

Choosing according to your real situation.

The “right” loan depends less on the economic headlines than on **your** reality:

- **Job and income stability:** the more solid it is, the more variable is conceivable.
- **Horizon:** do you plan to keep the property a long time?
- **Financial cushion:** could you absorb a payment increase?
- **Plans:** a growing family, a career change, a probable resale.

A choice aligned with your life is worth more than a perfect rate on paper but uncomfortable day to day.

The “right” loan depends less on the headlines than on YOUR reality: job stability, holding horizon, financial cushion, life plans. There's no shame in choosing fixed even when “everyone” praises variable: the best loan is the one that lets you sleep soundly.

EMILIE'S TIP

There's no shame in choosing fixed even when “everyone” says variable wins. The best loan is the one that lets you sleep soundly.

IN PRACTICE

Action plan

Your next steps, concretely.

This week

1. Assess my risk tolerance (fixed vs variable).
2. Meet a mortgage broker.

Within 30 days

1. Compare the rate AND the conditions (penalties, portability).
2. Choose a suitable amortization and term.

Next

1. Re-shop at each term renewal.

To choose well

1. Assess my risk tolerance and meet a mortgage broker.
2. Compare the rate AND the conditions (penalties, portability) and re-shop at each renewal.

REFERENCES

Resources & glossary

- Fixed rate: unchanged during the term, predictable.
 - Variable rate: follows the market, with potential for savings and risk.
 - Amortization: the total repayment period (often 25 years).
 - Term: the length of the current contract (often 5 years).
 - Prepayment penalty: the cost to repay or break before the term ends.
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- Fixed rate: unchanged during the term, predictable.
 - Variable rate: follows the market, with potential for savings and risk.
 - Amortization: the total repayment period (often 25 years).
 - Term: the length of the current contract (often 5 years).
 - Prepayment penalty: the cost to break or repay before the deadline.

GOING FURTHER

Quiz — test your knowledge

1. The fixed rate mainly offers:

- A) Maximum risk
- B) Predictable payments
- C) No interest
- D) Reduced taxes

2. The variable rate:

- A) Never changes
- B) Follows the market, with potential for savings and risk
- C) Is forbidden
- D) Is always more expensive

3. Amortization is:

- A) The length of the current contract
- B) The total repayment period
- C) A penalty
- D) A rate

4. The term is:

- A) The total length of the loan
- B) The length of the current contract (often 5 years)
- C) The insurance
- D) The price of the house

5. The end of term is a good moment to:

- A) Do nothing
- B) Re-shop and make lenders compete
- C) Sell mandatorily
- D) Pay a fine

6. A prepayment penalty can be:

- A) Zero at all times
- B) High if your life changes
- C) A gift
- D) Forbidden

7. The lowest rate:

- A) Is always the best loan
- B) Isn't always the best loan
- C) Doesn't exist
- D) Is illegal

8. A mortgage broker:

- A) Always costs the borrower a lot
- B) Compares several lenders, often at no cost to the borrower
- C) Sells houses
- D) Sets the taxes

9. The pre-approval gives you:

- A) A free house
- B) A confirmed amount and a guaranteed rate to shop
- C) A penalty
- D) Nothing

10. The best loan is above all the one that:

- A) Impresses the neighbours
- B) Is aligned with your real situation
- C) Has the most clauses
- D) Lasts the longest

Answer key

- 1. **B** — Predictability and security (ch. 1).
- 2. **B** — It follows the market (ch. 1).
- 3. **B** — The total period, often 25 years (ch. 2).
- 4. **B** — The length of the current contract (ch. 2).
- 5. **B** — You renegotiate at each term (ch. 2).
- 6. **B** — It can be costly (ch. 3).
- 7. **B** — The conditions count too (ch. 3).
- 8. **B** — They shop for you (ch. 4).

9. B — It secures your search (ch. 4).

10. B — Suited to your life (ch. 5).

Signé PAR Em

*Thank you for reading. May this guide help you
decide with confidence, with all the information
in hand.*

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